GENERAL TERMS AND CONDITIONS OF SALE AND DELIVERY

1. General Conditions – Scope

a) Our General Terms and Conditions shall apply to the exclusion of any other terms and conditions. Conflicting regulations or regulations stipulated by the customer diverging from our terms and conditions shall not be acknowledged unless expressly agreed to by us in writing. Our General Terms and Conditions shall also apply in the event that we deliver to the customer without reservation, fully aware that the customer's terms and conditions conflict with, or diverge from, our General Terms and Conditions.

b) The confirmation of the order shall be the decisive instrument regarding the business content. Verbal or collateral agreements shall be ineffective.

c) Any technical specifications expressly described as without engagement shall be deemed to be nominal values.

d) Our conditions are valid towards merchants pursuant to § 24 AGBG.

2. Prices – Terms and Conditions of Payment

a) Unless specified otherwise in the confirmation of the order, our prices are quoted net, including packaging, excluding ancillary costs such as transport, insurance, etc., plus Value Added Tax.

b) Any agreements regarding discounts shall be made in writing. The customer may claim the discount agreed only in the event that he is not in default with regard to other payments.

c) Unless specified otherwise in the confirmation of the order, the net purchase price (without deductions) shall be due within 30 days beginning from the date of invoice. In case of default in payment we shall be entitled to charge interest at 4 % above the current Deutsche Bundesbank annual bank rate. In the event that we are capable of the furnishing proof that we have incurred a higher default damage, we shall be entitled to assert our claim to such higher damages. The customer, however, shall be free to furnish proof to the effect that we have incurred insubstantial or no damage as a consequence of such default.

d) Payments by cheque or draft shall be accepted on account of performance, with receipt and discount charges being charged to the customer. Carrying-over or prolongation shall not be considered as performance. The costs for outside finance for purchases shall be assumed by the customer.

e) Setoffs may only be claimed by the customer if the customer's counterclaims are legally valid, undisputed or acknowledged by us. The customer's right of retention shall apply only insofar as the customer's counterclaims are founded on the same contractual relationship.

Delivery Time

a) The begin of the delivery time specified by us shall be contingent upon clarifying any technical issues. Unless agreed otherwise, the delivery time shall begin with the date of concluding the purchase or, in the event the purchaser having to effect payment, with the date of receipt of payment.

b) Part deliveries shall be permissible.

c) In the event of any contingencies such as force majeure, the time allowed for delivery shall be reasonably extended. In the event of delays in deliveries by the factory or caused by subcontractors, the time allowed for delivery shall be extended according to the delay occurred.

d) If we are in default of delivery for reasons within our control, the customer shall be entitled to demand a lump-sum as reimbursement for each complete week amounting to 1% of the delivery value, with a maximum of 5 % of the delivery value.

e) If the customer grants us an additional period of time after we are in default, at the same time warning us that he would refuse acceptance, after that period, then such customer shall be entitled to withdraw from the contract in the event that the additional period lapses without a satisfactory result. Claims for compensation in the foreseeable amounts arising from nonperformance may be filed by the customer only if the default is due to intent or gross negligence. The liability for damages shall, in any case, be restricted to 50 % of the damage incurred.

f) The limitation of liability as specified in c) and d) above shall not apply in the event that the transaction was agreed on fixed terms. The same applies when the customer is entitled to claim as a consequence of our default that his interest in performing the contract no longer prevails.

g) Compliance with our delivery obligations presupposes the timely and proper fulfilment of the obligations on the part of the customer.

h) If the customer is in default of acceptance or if he fails to comply in any manner whatsoever with his co-operative duties, we shall be entitled to demand compensation for any loss caused, including any additional expenses. In such case the risk of accidental perishing or accidental deterioration of the goods sold shall pass to the customer at the time such default in acceptance occurs.

4. Passing of risk

Risk shall pass to the purchaser at the date of dispatch of the goods or of the spare parts sold even in the event of part deliveries or in the event that we have agreed to assume the transport costs or the installation. If dispatch is delayed for reasons outside our control, risk shall pass to the purchaser at the date of notification or readiness for dispatch.

5. Rescission

a) We shall be entitled to rescind the agreement and, in the event of the goods being delivered already, demand return of the goods supplied under reservation of title or collect the goods under reservation of title from the purchaser if,

- the purchaser defaults in payment;
- there are indications that the purchaser may no longer be able to meet his obligations in relation to us or third parties completely and within the period specified;
- the purchaser fails to comply with previous agreements;
- any of the purchaser's cheques or drafts are protested.

b) Should we decide to insist on the above mentioned right, the purchaser shall be required to pay us compensation in the amount of 20 % of the invoice amount without proof of loss, plus any capital expenses which we might incur. The right to claim any higher damages actually incurred shall remain unaffected. The liability for compensation shall also revail in the event that the purchaser disposes of the goods purchased other than in the proper course of business. In the event that either party to this agreement withdraws from the contract, we shall refund the purchaser any payments made by him without paying interest, minus any counterclaims which we may have.

c) In the event that we withdraw from the contract after the date of delivery, the purchaser shall be obliged to return the goods delivered without delay and without taking recourse to any retention title. For the period the goods are in the purchaser's possession we shall be entitled to demand rental payments rental charges for similar machines. We may further claim compensation for any damage or other depreciation of the goods.

6. Installation or delivery

Assembly and instructions shall be subject to specially agreed terms and conditions

7. Warranty against defects

a) The purchaser's rights under this warranty shall be assigned to the purchaser duly complying with his obligations in relation to inspection and notification of defect as specified in §§ 377, 378 HGB (Commercial Code).

b) If we are held liable for defective goods we shall, at our option, remedy the defect or provide substitute deliveries. In the event that we opt to remedy the defect, we shall be obliged to bear all costs arising in connection with remedying the defect, especially any transport, travel, labour and material costs, unless such costs are unduly increased by the goods being relocated to a place other than the place of performance.

c) If we are unable or not prepared to remedy the defect or provide substitute deliveries, especially in the event that such remedying or substitute deliveries are delayed beyond a resonable period for reasons within our control, or if remedying or providing substitute deliveries fails in any other way, the purchaser shall be entitled to withdraw from the contract or, at this discretion, demand an appropriate reduction of the purchase price.

d) Unless specified otherwise herein, any further claims for whatever legal reasons on the part of the purchaser shall be excluded. Our liability is therefore limited to damage which the goods delivered have sustained. In particular, we shall not assume liability for the purchaser's loss of earnings or other pecuniary damage suffered by the purchaser.

e) The above indemnity shall not apply in case the cause of the damage is established to be due to intent or gross negligence. It does not apply further more in the event that the purchaser claims damages due to the lack of warranted characteristics according to non-performance pursuant to §§ 463, 480 Section 2 BGB (Civil Code).

f) In the event that we negligently contravene a material duty or obligation, our liability for personal injury an damage to property shall be limited to the coverage sum of our product liability insurance. We are prepared to allow the purchaser to inspect the appropriate policy.

g) The period of warranty shall be six months beginning from the date of passing of the risk. The warranty shall extend to the first purchaser only. It shall not extend to any subsequent purchasers. This warranty does not cover normal wear and tear, or damage sustained as a result of negligent or improper handling. The above period shall be subject to limitation and, unless claims in tort arise, it shall also extend to substitute deliveries for consequential defects.

h) Used appliances shall not be covered by the above warranty.

8. Overall liability

a) Irrespective of the legal nature of other claims, we shall not assume any liability for damages other than the liability specified in sections [illegible] above.

b) The provision of a) above shall not apply in the event [illegible] as pursuant to §§ 1, 4 Product Liability Act. The same shall apply to [illegible] or liable impossibility.

c) The above limitations to our liability shall also extend to include our officers, employees, staff, agents and representatives.

9. Reservation of title

a) Ownership of the goods delivered shall not pass to the purchaser until all claims for whatever legal reasons from the present business [illegible] been settled in full.

b) The purchaser shall be obliged to treat the goods purchased with care. In particular, the purchaser shall at his own expense take out adequate insurance cover (fire, water, theft) for the replacement value of the goods. Any maintenance or inspection work required shall be performed by the purchaser in good time and at the purchaser's expense.

c) The purchaser shall be obliged to notify us immediately of any impending or actual seizure or any interventions on the part of third parties. Should such third parties be incapable of reimbursing any legal or extra-judicial costs of an action pursuant to § 771 ZPO (Code of Civil Procedure), the purchaser shall be liable for such costs incurred.

d) The purchaser shall be entitled to sell the goods in the proper course of business. However, he assigns to us any claims up to the [illegible] total (incl. VAT) which he might accrue in relation to his customers or third parties irrespective of whether the goods are sold unprocessed or following specification. The purchaser's right to collect such demands remains in effect even after the assignment. Our entitlement to collect the claim ourselves shall remain unaffected. We undertake, however, not to collect the claim provided that the purchaser meets his obligation to remit the proceeds taken, and is not in default of payment, does not initiate bankruptcy or settlement proceedings with his creditors and does not suspend payments. If any [illegible] regoing occurs, we may demand that the purchaser inform us of the assigned claims and the creditors, provides us with any details necessary for collection, hands us the appropriate documents and notifies his creditors (third parties) of the assignment.

e) The goods purchased are at all times processed by the purchaser or worked by him into new forms on our behalf. If the goods are reworked or processed with other goods not belonging to us, we shall acquire co-ownership of the new goods in proportion to the value of the goods to the other processes goods applicable at the time of processing. The provisions of the paragraph relating to goods supplied under retention of title shall also apply to new goods created by processing.

f) If the goods are inseparably blended with other goods not belonging to us, we shall acquire co-ownership of the new goods in proportion to the value of the goods to the other blended goods applicable at the time of blending. If blending is such that the purchaser's goods are regarded as the major object, it is agreed that the purchaser grants us prorated co-ownership of the goods. The purchaser shall hold the new goods under sole ownership or co-ownership in safekeeping for our behalf.

g) The purchaser shall also assign us any claims against third parties for securing our claims which might arise against third parties from blending the goods with real property.

h) We undertake to release, upon the purchaser's request, any lawfully held collateral security exceeding 20 % of the value of the claims to secure our claims. The securities to be released shall be selected at our discretion.

10. Applicable law – jurisdictional venue – place of performance

a) The General Terms and Conditions of Delivery shall be construed in compliance with applicable German law.

b) Provided that the purchaser is a merchant entered in the Commercial Register as merchant, our principal seat of business shall also be jurisdictional venue. We shall, however, also be entitled to take legal action at the competent court of the purchaser's domicile.

c) Unless specified otherwise in the confirmation of order, our principal seat of business shall also be the place of performance.

11. Miscellanous provisions

a) The above general terms of sale shall also apply to where counselling services provided by us or by our representatives. Any claims for compensation arising therefrom are strictly excluded. The purchaser shall not be entitled to claim damages arising from delivery delays and breach of ancillary contract.

b) If any of the above provisions are deemed ineffective, the remaining provisions shall remain in full force and effect.